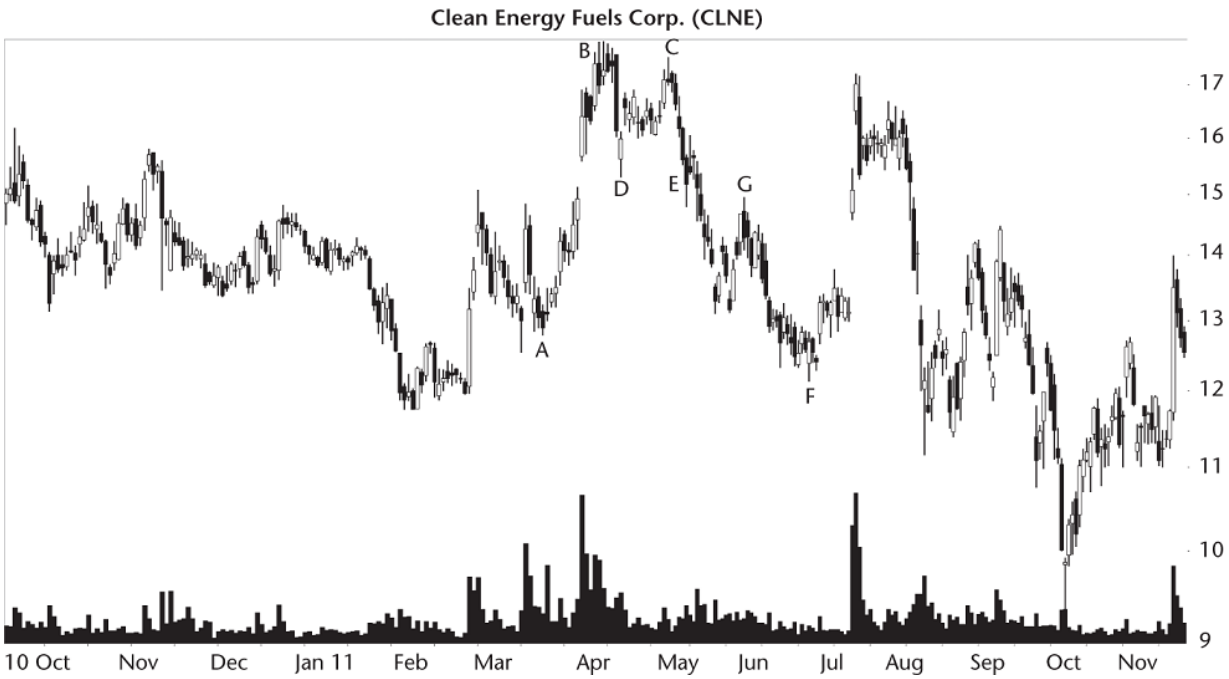


Figure 6.1 This big M sees price rise up to peak B and drop from peak C, bottoming at F just below the launch price, A.

In well-behaved big Ms, price drops after the second peak in a straight-line run down to the launch price, mirroring the rise to the first peak. That behavior represents the ideal situation, so don't depend on that happening in real life. In this example, the stock drops farther than the launch price, bottoming at F. Many times, however, price will bottom just above the launch price.

Identification Guidelines

Table 6.1 shows the identification guidelines for the big M.

Figure 6.2 provides another example of a big M at BD. Price begins the rise at A, the launch price (which is the second bottom of a nicely shaped Adam & Adam double bottom). Along the way, price gaps (an exhaustion gap because price consolidates after the gap) just past midway to the first peak and forms a pennant before resuming the climb to B.

Price meanders up and down as it searches for a bottom at C. The valley between BD looks like a mutant head-and-shoulders bottom (the left shoulder is LS, the right shoulder is RS, with head C between them. It's not